Round-Lot Size, Liquidity, and Mechanisms: Evidence from Double Machine Learning

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Overview of Paper

- Examine the November 2025 round-lot reform
  - DTAQ and Nasdaq ITCH, October to November 2025
- Find quoted spreads narrow and cost of immediacy falls
  - Even though displayed depth declines
- Show odd-lot trading rises for unchanged stocks too
- Use double machine learning to rank mechanisms
  - Adverse selection with inventory: one-third for 10-share stocks

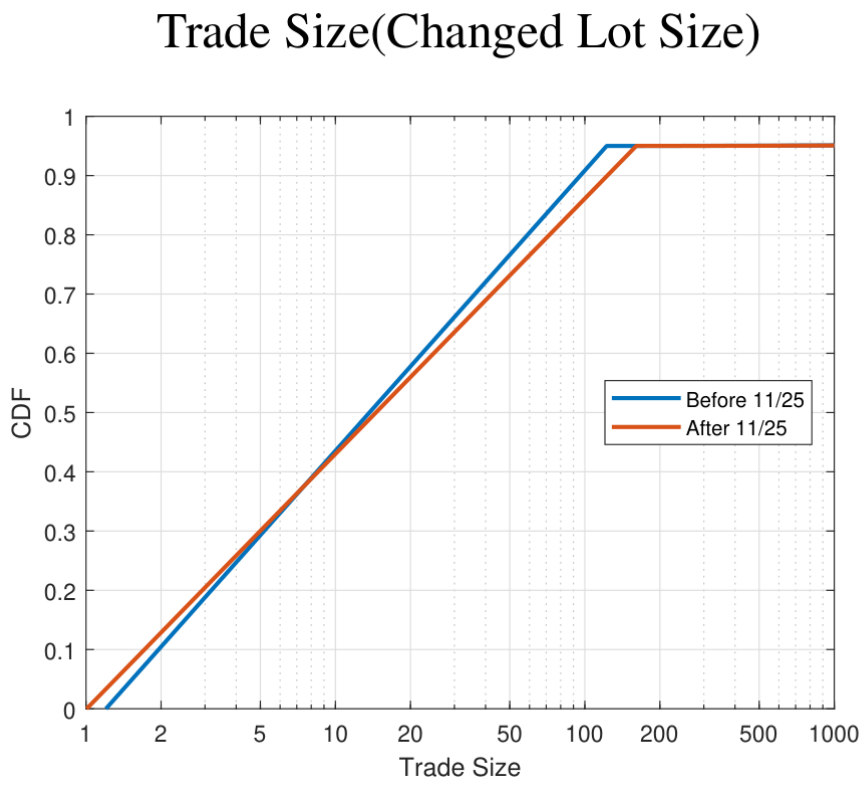
Overview of Comments

- Timely paper on an important reform!
- Quoted spreads clearly fall for treated stocks
- My comments are about measurement and comparison
  - How big is the odd-lot increase?
  - Who is the right control?
  - How large are the effects?

Estimate of Odd-Lot Increase

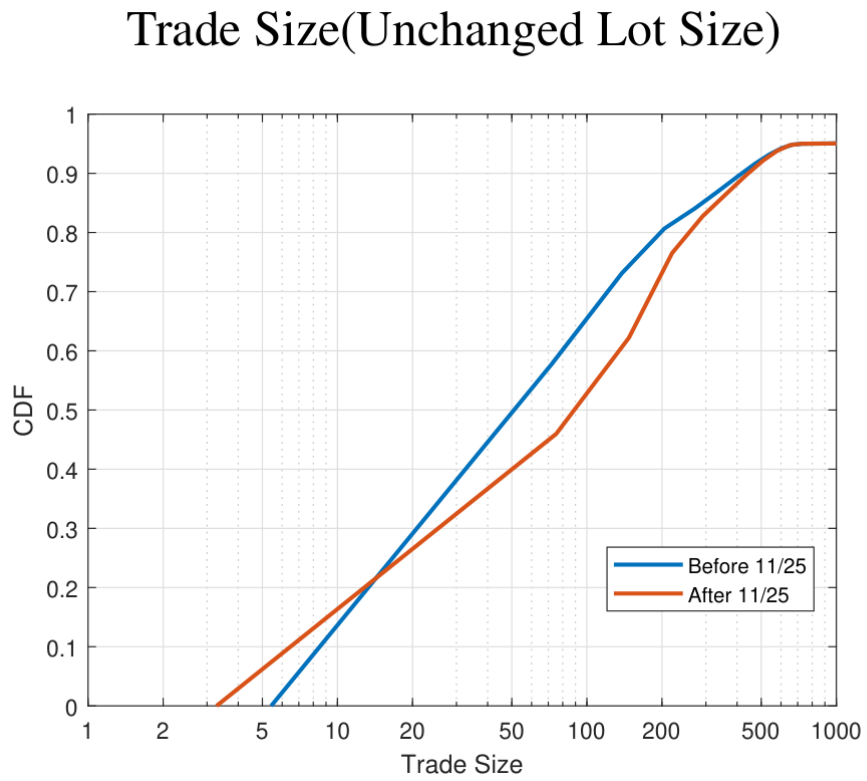
- "Odd-lot trading rises sharply after the reform . . . also for stocks whose round lot remains unchanged"
- More natural test: event study or time series around November 3?
- Instead, evidence is CDFs of trade size

Estimate of Odd-Lot Increase



Changed: is the shift meaningful?

Estimate of Odd-Lot Increase



Unchanged: more under 10 shares, fewer under 100 (I think!)

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- Instead, evidence is CDFs of trade size
- Suggestion:
  - Daily odd-lot share around November 3, changed vs. unchanged
  - Report counts and shares (more trades, or a bigger slice?)

Who Is the Control?

- Treated (changed): stocks above \$250 (40 or 10 shares)
- Control (unchanged): everything still at 100 shares, ETFs included
- Is a \$10 stock the right benchmark for a \$1,000 stock?
- And if unchanged stocks shift to odd lots too, are they untreated?

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- Suggestion:
  - Summary statistics by group: number of stocks, price, spread, volume
  - Compare similarly priced stocks at each cutoff
    - 100 vs. 40 shares
    - 40 vs. 10 shares

Interpretation

- Most results discussed by sign and significance
- I was a bit lost on economic significance
- How big are *these* changes for *these* groups?
- Hard to judge without pre-reform levels by group
- Group summary stats would be useful

Conclusion

- Very interesting paper on an important and timely policy change!
  - Great data: DTAQ and Nasdaq ITCH together
- Main ask: show the odd-lot shift over time and compare similarly priced stocks
- Overall, enjoyable read. Good luck to the authors!